

Reitmans (TSVX: RET/A)

Vishesh Poddar – Stock pitch for Fidelity Equity Research Intern position

Recommendation: **BUY**

Current price	\$2.04
52W Range	\$1.80 – \$2.48
Market Cap	\$103 MM
Shares Outst.	50.4 MM

FINANCIALS (Q3 FY2026 ending Nov 2025)

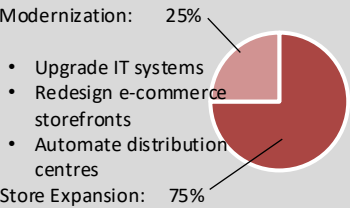
Revenue <i>YoY growth</i>	\$194.94 MM <i>+3.8%</i>
Gross margin <i>YoY growth</i>	56.2% <i>-1.1%pt.</i>
Adjusted EBITDA <i>YoY growth</i>	\$5.6 MM <i>+47.4%</i>
Net Income <i>YoY growth</i>	\$0.86 MM <i>-57%*</i>

** NI drop NOT due to core-business, but instead heavy investments and restructuring costs*

KEY METRICS	
Debt	\$0C
Cash	\$119 MM
Adjusted EV* <i>*Excludes operating lease liabilities</i>	-\$10.5 MM
EV (based on IFRS 16)	\$154.9 MM

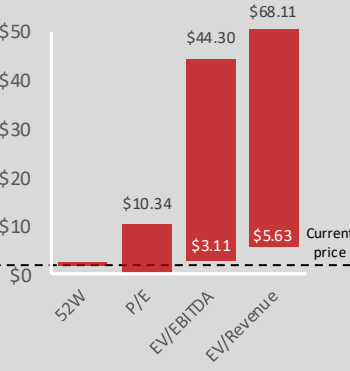
LTM MULTIPLES <i>(based on IFRS 16 EV)</i>	
EV/Revenue	0.2x
EV/EBITDA	2.52x
P/E Ratio (FY2025*) <i>* Since LTM is negative</i>	8.5x

\$100MM investment plan over next 5 years



- Upgrade IT systems
 - Redesign e-commerce storefronts
 - Automate distribution centres
- Store Expansion:
- Renovate existing locations
 - Expand sq. footage
 - Strategically open new stores
 - Double RW&CO. menswear business

VALUATION		
Method	Target price	Weightage
EV/Revenue	\$12.35	25%
EV/EBITDA	\$6.82	50%
P/E	\$2.60	25%
Target Price	\$7.14	100%
Implied upside	250%	

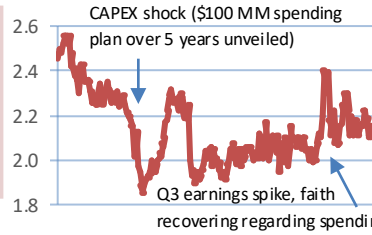


COMPANY OVERVIEW

Reitmans is a leading Canadian specialty women's and men's apparel retailer. It operates 391 stores across Canada and a robust e-commerce platform. While it only has 1 reportable segment, it operates under 3 distinct brands.

Reitmans	PENN. (Penningtons)	RW&CO.
221 stores; Flagship brand; Offers value-oriented, size-inclusive (0-22) women's fashion; Serves over 1/3 rd of Canadian women	86 stores; A plus-size (sizes 14-32) women's fashion brand that champions body diversity; Primarily located in retail power centres	84 stores; Premium, mall-based brand specializing in elevated, versatile menswear and womenswear suitable for both work and daily life.

Price from Jan 2025 - present



INVESTMENT THESIS

1. Impenetrable Demographic Moat (Size Inclusivity)

Reitmans' core brand offers an **extensive size range** from 0 - 22, and it's PENN brand caters specifically to sizes 14 to 32. Through this huge range, they have built a **moat** around **underserved consumer demographics**, building **deep brand loyalty**.

Fast-fashion giants (like Zara or HM) struggle with fit consistency outside of standard sizing, and they treat the other demographics as an "afterthought". The **market mistakenly groups Reitmans with these generic mall retailers**, but it fails to realise that this extended size range requires specialized garment engineering that fast-fashion players structurally **struggle to replicate**, creating a **sticky, highly loyal demographic moat**.

This moat, and the fact that the Reitmans brand alone **outfits over 1/3rd of all Canadian women**, means it has a very **broad reach** and will **protect the company** even as consumers become more cautious with discretionary spending. This **loyal customer base** provides them with a **safety net** that is **tough for other brands to replicate**.

2. Capturing the "White Space" in Menswear via RW&CO.

The market **wrongly prices** Reitmans as **vulnerable** to falling discretionary spending, completely ignoring a **powerful macro catalyst**: the collision of strict **Return-to-Office (RTO)** mandates with a **recessionary consumer**.

With Canada's largest employers (Big 5 banks, government) mandating 4-5 office days in late 2025/2026, only **17.4%** of employees still work mostly from home. This forces employees to **double** their professional **wardrobes** just as inflation and mortgage renewals crush their budgets. Since the menswear market is polarized between expensive luxury (Harry Rosen) and cheap fast fashion, professionals priced out of \$1,000+ suits **must trade down** into **RW&CO's accessible, value-driven** middle ground for **office-appropriate attire**.

Management is aggressively **capturing** this **trapped, mandatory demand**. By explicitly targeting a **doubling** of RW&CO's **menswear business** by 2030, this segment will lead the company's aim of \$1 billion revenue by 2030, transforming a **perceived macroeconomic headwind into massive, mispriced upside**.

3. The "Fortress Balance Sheet" as an Offensive Weapon

With the current macroeconomic environment of high interest rates and cautious consumer spending, **retail competitors** are playing **defense**.

But this is where Reitmans can substantially **gain a lead**. Given the current consumer pullback, combined with Reitmans' bankruptcy restructuring history, the **market wrongly treats** the stock as highly distressed and **uninvestable**. However, Reitmans operates with **zero** traditional **debt** and holds a **massive cash** pile, making high interest rates a **net benefit** to them while their levered competitors suffocate. In fact, Reitmans actually **earned \$3.0MM** in **interest income** on its \$119.4MM cash pile in YTD FY2026.

This grim macroeconomic environment is a boon to Reitmans, as while its competitors pull back, Reitmans is gobbling up **premium real estate**, **buying back shares**, and **renovating stores** to steal market share. They can **self-fund their entire \$100MM**, 5-year modernization plan.

Therefore, the market is **undervaluing** the stock due to the **distressed macro environment** and Reitmans' **restructuring history**, at a time when the company is actually **boosting itself**.

VALUATION

Using a comparable company analysis, I arrive at a target price of \$7.14 for Reitmans, implying a 250% upside. This high upside is necessary to **compensate** for the additional risk to investors. I gave a **50% weighting** to the EV/EBITDA multiple because I believe the **high investments is temporarily lowering income** (but will yield high returns), and that the **revenue multiple** does not account for the recent **operational efficiencies** Reitmans has pursued such as closing two of its brands.

Risks	Catalysts
Geopolitical supply disruption: Escalating trade conflicts or global shipping bottlenecks could spike freight costs, compressing margins. However, Management has deliberately diversified its overseas vendor base, providing flexibility in its supply chain.	FY2026 earnings and cash deployment (April): Reitmans' release of its financial report will show survival of tough 2025 retail environment, and a cash pile greater than market cap. That coinciding with the company's 100 th anniversary will likely cause a major capital allocation event.
Value trap due to family control: Since the founding family holds absolute voting control, they might keep the cash pile. But they recently expanded its investor relations efforts, signaling focus to increase shareholder value.	Competitor fallout (next 6-12 months): Persistent high-rates throughout 2026 could force private Canadian apparel competitors to the brink, causing them to shrink and Reitmans to capture their orphaned market share.
White collar employment shock: If the Canadian recession deepens into mass layoffs, unemployed professionals will halt office-wardrobe spending. But Reitmans' massive demographic moat of serving over one-third of Canadian women across categories provides a highly defensive revenue floor that isn't strictly tied to corporate employment.	Trade friction (next 3-6 months): Aggressive 2026 U.S. trade policies and a weak CAD are forcing U.S. competitors to raise Canadian prices to protect margins. Insulated by a diversified non-U.S. supply chain, Reitmans' value-pricing moat will artificially widen with continued tariffs, accelerating the consumer "trade-down" effect.